

1 Write a brief review on early Mercantilist writings and its context. What was the poor law?

Answer: In the early mercantilist period, most production was carried on by workers who still owned and controlled their own means of production. Capitalists were primarily merchants, and their capital consisted mostly of money and inventories of goods to be sold. Therefore, it was only natural that mercantilist writers looked to exchange, or buying and selling, as the sources of profits.

Early Mercantilist writings and its context:

Profit accrues to merchant capital when the price at which the merchant sells a commodity is sufficiently high to cover the price the merchant pays for the commodity, plus all expenses for handling, storing, transporting, and selling the commodity, plus a surplus over and above these

costs. This surplus is the merchant's profit.
Therefore, an understanding of the determinants of the prices at which commodities were bought and sold was central to an understanding of the merchant's profits.

Earlier medieval thinkers about price: Earlier medieval thinkers had asserted that the price of a commodity had to be sufficient to cover a craftsman's direct costs of production and to yield the craftsman a return on the labor expended sufficient to maintain the craftsman in the style of life traditionally deemed appropriate. In other words, prices were determined by the costs of production, including an imputed, appropriate remuneration for the labor of the craftsmen.

Early mercantilists about price: The early mercantilists generally abandoned the earlier medieval thinkers

cost-of-production approach to the understanding of prices and focused on the point of sale to analyze exchange values. One scholar of mercantilist ideas has concluded that, despite a wide range of differences on specific issues, three important notions run through most early mercantilist writings on value theory:

- ☐ First, the "value" or "natural value" of commodities was simply their actual market price.
- ☐ Second, the forces of supply and demand determined market value.
- ☐ Third, mercantilist writers frequently discussed "intrinsic value" or use value as the most important factor determining demand, and, hence as an important causal determinant of market value.

Nicholas Barbon, one of the most important of the mercantilist writers, summed up these three points in his pamphlet, A Discourse on Trade. Barbon's ~~pamphlet~~ pamphlet was written at a time during which economic attitudes were beginning to undergo rapid change and mercantilist saw profits as originating primarily in the act of exchange. Their profits came largely from two sources:

[1] the inflation of the sixteenth and seventeenth centuries had created a situation in which there was generally a substantial appreciation of the value of the inventories held. Between the time at which the merchants purchased commodities and the time at which merchants sold them, the increases in the prices of these commodities resulted in windfall profits.

[2] the differing conditions under which production

took place in various regions of a country or various parts of the world, combined with the fact that there was very little mobility of resources, technology, and labor between these regions, resulted in substantially different relative prices of commodities in the various regions or countries. Merchant would buy a commodity in a region or country in which it was relatively inexpensive and sell it in a region or country in which it was relatively expensive.

Under these conditions, it is not surprising that merchants should have conceived of the value of a commodity in terms of its market price rather than its conditions of production. Moreover, it was only natural for them to see differences in market prices as resulting from differences in the willingness

or desire to purchase ~~a commodity~~, the particular commodities. Supply entered the picture only to the extent that the merchants saw that with a given level of desire to purchase a commodity, the price of a commodity would be high if this commodity was in short supply and low if its supply was abundant. It was for this reason that the large merchant companies sought state-created and enforced monopolies.

It appeared to the early mercantilists that control over the conditions affecting the supply of commodities was the principal means by which high profits could be attained and perpetuated. But the early mercantilist period had not yet experienced the change in social attitudes that was later to condone and justify the careless quest for

profits simply for the sake of profits. Governments' motivations and rationalizations for their policies of promoting merchant profits were very different from those motivations and rationalizations that were to become characteristic of capitalist governments beginning in the nineteenth until the present time.

In the early mercantilist period, there was an ideological continuity between the intellectual defenses of mercantilist policies and the earlier ideologies that supported the medieval economic order. The latter relied on a ~~this~~ Christian paternalist ethic that justified extreme inequalities of wealth on the assumption that God had selected the wealthy to be the benevolent stewards of the material welfare of the masses. The Catholic Church had been the institution through which this paternalism was effectuated. As capitalism developed, the church grew weaker and the governments of the emerging nation-

states grew stronger. In the early mercantilist period, economic writers increasingly came to substitute the state for the medieval church as the institution that should oversee the public welfare.

The people could no longer look to the Catholic Church for relief from widespread unemployment and poverty. Destruction of the power of the church had eliminated the organized system of charity, and the state attempted to assume responsibility for the general welfare of society.

In fact, it appears that the desire to achieve full employment is the unifying theme of most policy measures advocated by mercantilist writers.

The mercantilists preferred measures designed to stimulate foreign rather than domestic trade.

"because they believe ~~that~~ it contributed more to employment, to nation's wealth and to national power. The writer after 1600 stressed the

inflationary effect of an excess of exports over imports and the consequent increase in employment which inflation produced."

Among the other measures taken to encourage industry during this period was the issuance of patents of monopoly. The first important patent was granted in 1561, during the reign of Elizabeth I. Monopoly rights were given in order to encourage inventions and to establish new industries.

Poor law: Poor laws passed in 1531 and 1536 attempted to deal with the problems of unemployment, poverty, and misery then widespread in England. The first sought to distinguish between "deserving" and "undeserving" poor; only the deserving poor were allowed to beg. The second decreed that each individual parish throughout England was responsible for its poor and that the parish should, through voluntary contributions, maintain a poor

fund. This proved completely inadequate, and the pauper problem grew increasingly severe. Finally, in 1572, the state accepted the principle that the poor would have to be supported by tax funds and enacted a compulsory "poor rate". And in 1576, "house of correction" for "incorrigible vagrants" were authorized and provision made for the parish to purchase raw materials to be processed by the more tractable paupers and vagrants. Between that time and the close of the sixteen century, several other poor-law statutes were passed.

The Poor Law of 1601 was the Tudor attempt to integrate these laws into one consistent framework. Its main provisions included formal recognition of the right of the poor to receive relief, imposition of compulsory poor rates at the parish level, and provision for differential treatment for various classes of the poor. The aged and the sick could receive help in their homes; pauper children who were too young to be apprenticed in a trade were to be boarded out; the deserving poor and unemployed were to be given work as provided for in the act of 1576; and incorrigible vagrants were to be sent to houses of correction and prisons.